

falling), commodity derivatives, and yes, germane to this book, bitcoin and other cryptoassets.

Even with this lack of transparency and liquidity, affluent investors rushed to hedge funds to chase the performance of managers like Paulson, Simons, and others. An underlying assumption for hedge fund investors was that they needed to be affluent enough to handle the high risk and volatile nature associated with a hedge fund manager's approach and fund assets. For the typical investor, the high asset commitments, illiquidity, and lack of transparency kept hedge funds beyond their reach. Fortunately, the underlying ability to utilize alternative investments in any portfolio is not as elusive as many are made to think.

Alternative Investments Defined

So how does one define an “alternative investment”?

A search online and in dictionaries will present a reader with the perception that accurately defining the term is quite complicated due to the wide range of investments included, ranging from hedge funds to private equity to direct investments in natural resources like gold and timber.¹⁰

The reality is that classifying alternative investments can be a moving target as investment options and trends change over time. Many investors may already have alternative investment vehicles in their portfolio without specifically referring to them as such. An investment such as an exchange traded fund (ETF) that specializes in arbitrage strategies or futures contracts may look like any other ETF in a portfolio, but it